Investor Views on the Usability and Design of Funds' Shareholder Reports

Available evidence suggests that investors generally view fund shareholder reports as difficult to understand. Several investors responding to the Fund Investor Experience RFC stated that fund disclosure is too complicated.[32] For instance, many investors indicated that there is too much technical writing in fund disclosure.[33] Investors also expressed a strong preference for the inclusion of more tables, charts, and graphs in fund disclosure to make information more understandable to the average investor.[34] Similarly, the majority of

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broker-dealer and investment adviser relationship summaries); Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27, at n.33 (discussing commenters' support for layered disclosure in the case of variable annuity and variable life insurance contracts); IAC Disclosure Effectiveness Recommendation, *supra* footnote 26 (discussing, among other things, the use of layered disclosure as an approach to develop more investor-friendly disclosures).

32 *See, e.g.*, Karlidag Comment Letter; Rojas Comment Letter; Comment Letter of Melanie Jallah (June 12, 2018) ("Jallah Comment Letter"); Nevin Comment Letter; Comment Letter of Roberto Delmonte (June 15, 2018) ("Delmonte Comment Letter"); Broadridge Comment Letter I (stating that in a quantitative survey, 72% of investors who review mutual fund or ETF disclosure said they do not find the information easy to understand); Comment Letter of Helen and Bob Hague (Aug. 30, 2018) ("Hague Comment Letter") (stating that they understand summary prospectus disclosure, but not annual report disclosure); Comment Letter of Michael Dougle (Aug. 30, 2018) ("Dougle Comment Letter"); David Comment Letter.

33 *See, e.g.*, Comment Letter of Harold Thomas (June 8, 2018) ("Thomas Comment Letter"); Rojas Comment Letter; Jallah Comment Letter; Comment Letter of Kate Freedman (June 12, 2018) ("Freedman Comment Letter"); Nevin Comment Letter; Delmonte Comment Letter; Comment Letter of Rich Kirchoff (June 21, 2018) ("Kirchoff Comment Letter"); Comment Letter of Tom Arnold (June 23, 2018) ("Arnold Comment Letter") (stating that there is too much boilerplate in fund disclosures, which are legal documents instead of informative documents); Comment Letter of Mimi Solo (July 16, 2018) ("Solo Comment Letter"); Woods Comment Letter (stating that fund disclosure is not useful because there is too much boilerplate and legalese).

34 *See, e.g.*, Comment Letter of Jack Wilhelm (Aug. 30, 2018) ("Wilhelm Comment Letter"); Comment Letter of Frank W. (Aug. 30, 2018) ("Frank W. Comment Letter"); Comment Letter of Caryn Stiles (Aug. 30, 2018) ("Stiles Comment Letter"); Comment Letter of Mrs. Kellie (Aug. 30, 2018); Hague Comment Letter; Comment Letter of J.L. (Aug. 30, 2018) ("J.L. Comment Letter"); Woods Comment Letter; Comment Letter of Amanda Yukle (Sept. 6, 2018) ("Yukle Comment Letter"); Comment Letter of Joanna Baker (Sept. 11, 2018) ("Baker Comment Letter"). However, one investor expressed a preference for text disclosure. *See*

investors participating in certain past quantitative and qualitative investor testing initiatives on the Commission's behalf expressed the view that funds' annual reports are written more for advanced investors, financial professionals, or regulators than for an average investor.[35] Investor surveys that other market participants have conducted further support the conclusion that investors view funds' shareholder reports as too lengthy and complicated, and difficult for the average investor to use to effectively find information of interest.[36] These surveys have found that, for example, approximately 41% to 72% of surveyed investors find fund shareholder reports difficult to understand.[37]

Comment Letter of Mark Freeland (Dec. 2, 2018) ("Freeland Comment Letter").

See also Financial Literacy Study, *supra* footnote 26 (explaining that, based on public comments and qualitative and quantitative research, investors prefer that disclosures be written in clear, concise, understandable language, using bullet points, tables, charts, and/or graphs); Investor Preferences Report, *supra* footnote 31 (indicating that investors prefer graphics and charts describing an investment over a narrative description).

35 *See* 2012 Report on Investor Testing of Fund Annual Reports, *supra* footnote 26, at 10, 75, and 80. For example, one focus group participant in the 2012 research described the annual report disclosure they reviewed as "mind-clogging," while another participant suggested that annual reports "should be written in fifth grade English." Another participant stated, "If they're sending it to us, use a summary and pie charts. (The more sophisticated investors) can go online."

36 *See* Broadridge Comment Letter I (explaining the findings of qualitative feedback from 45 retail investors regarding a typical mutual fund annual report, including that investors found the document to be too long and overwhelming and preferred disclosures that can be read in a few minutes and that focus on essential information); Mutual Fund Investors' Views on Shareholder Reports: Reactions to a Summary Shareholder Report Prototype, Investment Company Institute (Oct. 2018) ("ICI Investor Survey"), *available at* https://www.ici.org/pdf/ppr_18_summary_shareholder.pdf; Broadridge Comment Letter II.

37 *See* Broadridge Comment Letter I (stating that 72% of surveyed investors that review mutual fund or ETF disclosures do not find them easy to understand); ICI Investor Survey, *supra* footnote 36 (stating that 67% of surveyed mutual fund investors who recalled receiving fund shareholder reports indicated that the reports are difficult to understand); Broadridge Comment Letter II (providing the results of two surveys in which 41% and 53% of surveyed investors, respectively, found the reports very or somewhat difficult to understand, with older investors and those with lower incomes more likely to find the reports difficult to understand).

Investors' Current Use of Fund Disclosures

Several investors responding to the Fund Investor Experience RFC stated that they do not review funds' disclosure materials at all.[38] Investor testing and surveys also suggest that many fund shareholders tend to read very little, if any, of funds' disclosure materials. For example, in one investor survey, 12% of fund shareholders stated that they "never" review mutual fund or ETF disclosure, while an additional 37% said that they review this disclosure "some of the time."[39] Another survey found that 63% of mutual fund shareholders who recalled receiving fund shareholder reports read, at most, very little of them.[40] Two other surveys found somewhat higher readership levels of shareholder reports, with only 4% and 8% of surveyed shareholders responding that they do not read the reports.[41] However, a

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38 *See, e.g.*, Delmonte Comment Letter; Comment Letter of Helena Krus (July 29, 2018) ("Krus Comment Letter"); Comment Letter of Logan Fowler (Aug. 13, 2018) ("Fowler Comment Letter"); Wilhelm Comment Letter; Comment Letter of Nina Grano (Aug. 30, 2018) ("Grano Comment Letter"); Comment Letter of Jack Olstrom (Aug. 30, 2018) ("Olstrom Comment Letter"); Dougle Comment Letter; Comment Letter of Frank J. (Aug. 30, 2018); J.L. Comment Letter; Franco Comment Letter; Comment Letter of Irwin Joseph (Nov. 19, 2018) ("Joseph Comment Letter"). Some of these commenters stated that they do not review fund disclosure materials because they are too long or complex, or generally are not well suited to investors' needs. *See, e.g.*, Fowler Comment Letter; Franco Comment Letter; Grano Comment Letter.

39 *See* Broadridge Comment Letter I.

40 *See* ICI Investor Survey, *supra* footnote 36; *see also* 2012 Report on Investor Testing of Fund Annual Reports, *supra* footnote 26, at 61, 69 (stating that, of participants in the qualitative component of this testing, 52% read a few key sections of fund annual reports, 14% scan the table of contents and/or the first few pages, and 25% file it or discard it unread; of online survey respondents, 72% read a few key sections, 10% scan the first few pages, and 3% file it or discard it unread).

41 *See* Broadridge Comment Letter II. One of these surveys found that 8% of surveyed investors do not read the reports, 19% read very little of the reports, and 28% read some of the reports. The other survey found that 4% of surveyed investors do not read the reports and 56% read some of the reports.

majority of fund shareholders in one of these surveys also indicated that they spend 15 minutes or less reviewing the reports.[42]

Survey results relating to readership of shareholder reports also suggest that shareholders may not read some, or all, of a fund's shareholder report due, in part, to the fact that many view shareholder reports as overly long and complex documents that are not designed to meet the average shareholder's needs.[43] Fund shareholders may, however, be more likely to read a more concise version of a fund's shareholder report.[44] Academic research similarly suggests that, due to limits on an individual's ability to absorb and process information, investors may be more likely to understand and effectively use concise disclosure that is well-organized and focused on key information.[45]

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[42] *See id.* (providing the results of a survey in which 21% of investors said that they typically spend 5 minutes or less reviewing shareholder reports and an additional 41% of investors said that they typically spend 6 to 15 minutes reviewing the reports).

[43] *See, e.g.,* ICI Investor Survey, *supra* footnote 36 ("The survey results demonstrate that mutual fund investors who find the current reports difficult to understand are less likely to read them.").

[44] *See, e.g.*, Broadridge Comment Letter I (discussing the results of a quantitative survey related to fund disclosure in which approximately 39% of investors said they would be more likely to look at or review a summary format of a fund's annual and semi-annual reports); ICI Comment Letter I (discussing an investor survey of a summary shareholder report prototype, in which more than 90% of participants indicated that they would be more likely to read the summary prototype than a full-length shareholder report); Broadridge Comment Letter II (providing the results of a survey in which 88% of investors indicated that they were more likely to read a summary shareholder report than a full-length report). Two commenters used the same summary shareholder report prototype, developed by the ICI, in their investor surveys. The prototype was approximately three pages in length and primarily focused on performance, fund expenses, and illustrations of fund holdings. *See* ICI Comment Letter I; Broadridge Comment Letter II.

[45] *See, e.g.*, Disclosure: Psychology Changes Everything, George Loewenstein, Cass R. Sunstein, and Russell Goldman, Annual Review of Economics (2014) (providing a comprehensive survey of literature relevant to disclosure regulation and suggesting that "[g]iven the limits of human attention, perhaps the most obvious way to improve the effectiveness of disclosures is to simplify them…[and] to reduce the number of less important disclosures so as to increase

Investor Views on the Content of Funds' Shareholder Reports

Investors participating in investor testing and surveys have expressed a consistent interest in certain specific shareholder report disclosure items.[46] The principal items of interest that investors have consistently identified for purposes of monitoring an ongoing fund investment include performance, holdings, and fund expenses.[47] For example, investor testing and surveys have found that approximately 60% to more than 80% of investors believe that fund performance information is important.[48] As for fund holdings information, testing and

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the salience of the most important ones"); *see also infra* Section III.C.1 (discussing additional academic research on characteristics that may increase the effectiveness of a given disclosure).

46 We are not aware of investor testing or surveys that specifically have explored fund shareholders' level of interest in prospectus-related disclosure they receive through annual prospectus updates or interim prospectus stickers. However, the results of at least one survey suggest that fund shareholders are more likely to use shareholder reports than prospectuses to monitor their fund investments. *See* Investor Preferences Report, *supra* footnote 31, at 15.

47 *See* 2012 Report on Investor Testing of Fund Annual Reports, *supra* footnote 26, at 51-52 (stating that about half of online survey respondents considered items regarding performance, holdings, and expenses as "absolutely essential information for any investor"); Broadridge Comment Letter I; ICI Comment Letter I; Investor Preferences Report, *supra* footnote 31; Broadridge Comment Letter II. Some commenters on the Fund Investor Experience RFC also suggested that a summary or streamlined shareholder report should focus on a fund's expenses, performance, and holdings. *See, e.g.*, Comment Letter of The Capital Group Companies (Oct. 30, 2018) ("Capital Group Comment Letter"); Henry Comment Letter. Similarly, we understand that these content topics are those that experts recommend that investors consider in understanding a fund investment. *See, e.g.*, IAC Disclosure Effectiveness Recommendation, *supra* footnote 26, at n.4 and accompanying text ("To select a mutual fund, for example, experts are nearly unanimous in recommending that investors consider the fund's investment objectives and strategies, risks, fees and expenses, past performance, including the volatility of that performance, the reputation of the fund manager, tax implications of an investment in the fund, and information about such account features as investment minimums.").

48 *See* Broadridge Comment Letter I (finding that, of the 50% of surveyed investors that review mutual fund or ETF annual and semi-annual reports "always" or "most of the time," 75% of those investors often look at or review fund performance information); 2012 Report on Investor Testing of Fund Annual Reports, *supra* footnote 26, at 49 (stating that 61% of participants in the qualitative component of this testing ranked the discussion of fund performance in the top three most important shareholder report items); ICI Comment Letter I (finding that approximately 83% of surveyed investors said that performance highlights

surveys have found that approximately 38% to 79% of investors view this information as important.[49] Testing and surveys have also found that approximately 34% to 72% of investors believe that fund expense information is important.[50]

Investors have expressed varying levels of interest in reviewing a fund's financial statements and financial highlights. For example, at least one survey has found somewhat high levels of interest in this information from shareholders who currently review fund shareholder reports (*i.e.*, 63% of these investors often review a fund's financial statements), and another

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information is very important or somewhat important); Investor Preferences Report, *supra* footnote 31 (stating that, after purchase, 76% of investors review performance information); Broadridge Comment Letter II (providing the results of an investor survey in which 89% of investors rated the performance section of the annual report as important and 63% rated the portfolio commentary (or performance highlights) section as important).

49 *See* Broadridge Comment Letter I (stating that, of the 50% of surveyed investors that review mutual fund or ETF annual and semi-annual reports "always" or "most of the time," 67% of those investors often look at or review fund portfolio holdings information); 2012 Report on Investor Testing of Fund Annual Reports, *supra* footnote 26, at 49 (finding that 38% of participants in the qualitative component of this testing ranked the graphical representation of holdings in the top three most important shareholder report items); *see also* ICI Comment Letter I (stating that approximately 79% of surveyed investors said that graphical representation of holdings information is very important or somewhat important); Investor Preferences Report, *supra* footnote 31 (stating that, after purchase, 41% of investors review portfolio holdings); Broadridge Comment Letter II (discussing a survey in which 63% of investors rated disclosure about the characteristics of a fund—including top holdings, asset allocations, and industry allocations—as important for annual reports and 64% of investors rated this disclosure as important for semi-annual reports).

50 *See* Broadridge Comment Letter I (stating that, of the 50% of surveyed investors that review mutual fund or ETF annual and semi-annual reports "always" or "most of the time," 61% of those investors often look at or review fund expense information); 2012 Report on Investor Testing of Fund Annual Reports, *supra* footnote 26, at 49 (finding that 34% of participants in the qualitative component of this testing ranked the expense example in the top three most important shareholder report items); Broadridge Comment Letter II (discussing a survey in which 69% of investors rated expense disclosure as important for annual reports and 66% of investors rated it as important for semi-annual reports); *see also* ICI Comment Letter I (stating that approximately 72% of surveyed investors said that the fund expense example is very important or somewhat important); Investor Preferences Report, *supra* footnote 31 (stating that, after purchase, 55% of investors review fund fees and expenses).

survey found that a majority of investors rated financial highlights disclosure as important.[51] Other surveys, as well as comments on the Investor Experience RFC, suggest that the average investor may have less interest in financial statements and financial highlights.[52] As for other types of shareholder report disclosure, investors typically have expressed less interest in these other disclosures.[53]

Investor Views on the Volume and Frequency of Fund Disclosure

In addition to concerns about the length of funds' shareholder reports, some investors responding to the Fund Investor Experience RFC expressed concern about the overall volume

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51 *See* Broadridge Comment Letter I; Broadridge Comment Letter II (stating that 55% of investors rated the financial highlights as important annual report disclosure and 53% of investors rated this disclosure as important for semi-annual reports, but 47% of surveyed investors viewed the statement of financial condition and operations as important disclosure for annual or semi-annual reports).

52 *See* 2012 Report on Investor Testing of Fund Annual Reports, *supra* footnote 26, at 49 and 52 (indicating that approximately 38% to 41% of surveyed investors found the financial highlights to be important, while approximately 24% to 33% of surveyed investors believed that financial statements were important); *see also* ICI Comment Letter I (determining not to include financial statements and most financial highlights data points in a summary shareholder report mockup and instead concluding that "they were of a more technical nature that a typical retail investor would not read or understand," although such information would be available online under the commenter's proposed approach); Rojas Comment Letter ("What am I supposed to do with a very long list of holdings and financial statements?"); Balke Comment Letter ("Financial Statements are of little value."); Fowler Comment Letter ("What am I supposed to do with fund financial statements?").

53 *See* Broadridge Comment Letter I (finding that surveyed investors tended to have less interest in remuneration paid to directors, officers, and others, as well as information about directors and officers); 2012 Report on Investor Testing of Fund Annual Reports, *supra* footnote 26, at 52 (stating that surveyed investors generally had less interest in information about changes in, and disagreements with accountants; results of any shareholder vote; discussion of the reasons the board approved an advisory contract; statements about where to find certain additional fund information; and information about directors and officers); Broadridge Comment Letter II (providing the results of a survey in which 26% of investors rated disclosure about the fund's directors and officers as important, and 25% of investors rated disclosure about the board's approval of the investment advisory contract as important).

and frequency of fund disclosures they receive each year. For example, several investors expressed the view that they receive too many fund disclosure materials and that they feel overwhelmed by the amount of information they receive.[54] Another investor expressed a preference for less frequent disclosure.[55]

However, with respect to shareholder reports in particular, one investor survey found that 86% of investors thought that the current semi-annual frequency at which they receive reports was "about the right frequency," while 11% of investors viewed semi-annual reports as too frequent and 3% expressed a preference for more frequent shareholder reports. In this survey, investors' preferred frequency changed somewhat for a prototype summary shareholder report.[56] If they were to receive a summary shareholder report, 56% of investors preferred semi-annual reports, 27% preferred quarterly reports, 17% preferred annual reports, and 1% did not want to receive the reports.[57]

2. Fee and Risk Disclosure Preferences

We understand that investors generally prefer concise, summary disclosure that allows them to quickly understand key information. Similarly, we understand that this general preference extends to investors' preferences about disclosures regarding fund fees and risks.

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54 *See, e.g.*, Delmonte Comment Letter ("There is too much information provided to me. I buy a mutual fund because I want convenience and to more efficiently spend my time. Stop giving me hours['] worth of reading I do not understand."); Solo Comment Letter (stating that there are too many fund disclosure materials, they are too long, and they do not distill the right information); Rojas Comment Letter.

55 Comment Letter of Anonymous (Aug. 30, 2018) ("Anonymous Comment Letter") ("I invest for the long term. I do not need constant updates.")

56 *See supra* footnote 44 (discussing the prototype summary shareholder report developed by the ICI).

57 *See* Broadridge Comment Letter II.

Investor Views on Fee and Risk Disclosure

The majority of investors responding to a question in the Feedback Flier about fee disclosure expressed the view that funds do not clearly disclose their fees and expenses.[58] Many of these investors suggested that funds should simplify their fee and expense disclosure.[59] Several investors recommended reducing the number of line items in the prospectus fee table or providing only one "bottom-line" number showing the fees associated with an investment in the fund.[60] Several investors also expressed an interest in comparing fees and expenses across multiple funds to help inform their investment decisions.[61] Other commenters who responded more generally to the Fund Investor Experience RFC also expressed concern that fund fees are hard to understand, and that certain terminology Form N-1A uses (*e.g.*, use of terms like "12b-1 fees" and "front-end loads") is similarly difficult to

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58 Approximately 33 investors responded to the Feedback Flier question asking, "Do you think funds clearly disclose their fees and expenses?" Of these 33 investors, 21 investors replied "no" and 12 investors replied "yes."

59 *See, e.g.*, Krus Comment Letter; Stiles Comment Letter; Anonymous Comment Letter; Hague Comment Letter; J.L. Comment Letter; Woods Comment Letter; Comment Letter of Jake Hamm (Sept. 3, 2018); Yukle Comment Letter.

60 *See, e.g.*, Grano Comment Letter; Anonymous Comment Letter; Yukle Comment Letter; J.L. Comment Letter.

61 *See, e.g.*, Palmer Comment Letter; Balke Comment Letter; Karlidag Comment Letter; Kirchoff Comment Letter; Solo Comment Letter; Krus Comment Letter.

understand.[62] Some commenters suggested that funds should disclose fees in terms of dollars rather than percentages to make the disclosure more understandable to investors.[63]

Investor Views on Principal Risk Disclosure

Many investors responding to the Fund Investor Experience RFC also suggested that disclosure about a fund's risks is too long.[64] Some investors suggested that funds should order risks by importance and provide the most important risks first.[65] Other investors suggested that more focused risk disclosure would be helpful.[66] Consistent with these investor preferences, Commission staff has encouraged funds to take steps to improve their principal risk disclosure including by, for example, ordering risks by importance, better tailoring their risk disclosure, and concisely summarizing principal risks in the summary prospectus.[67]

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62 *See, e.g.*, Comment Letter of AARP (Oct. 31, 2018) ("AARP Comment Letter"); Comment Letter of Independent Directors Council (Oct. 30, 2018); Comment Letter of Carla Ruiz (Aug. 17, 2018) ("Ruiz Comment Letter"). A recent study of mutual fund financial literacy also found that many survey participants were unable to correctly answer certain true-or-false questions about general aspects of funds' fee structures, as well as other characteristics of funds. *See* Brian Scholl and Angela Fontes, Adding Depth to Financial Literacy: What Does the Public Know About Mutual Funds? Towards a New Index of Investor Knowledge, SEC Office of the Investor Advocate (July 18, 2019).

63 *See, e.g.*, AARP Comment Letter; Comment Letter of A. Miller (July 21, 2018); *see also infra* footnote 573 (citing other evidence that dollar-based disclosure may be easier for some investors to understand).

64 *See, e.g.*, Krus Comment Letter; Solo Comment Letter; Fowler Comment Letter; Stiles Comment Letter; Comment Letter of Hector Ewing (Aug. 30, 2018) ("Ewing Comment Letter"); J.L. Comment Letter; Woods Comment Letter; Baker Comment Letter; Olstrom Comment Letter.

65 *See, e.g.*, Stiles Comment Letter; Dougle Comment Letter; J.L. Comment Letter; Ruiz Comment Letter; *see also* Frank W. Comment Letter (expressing interest in disclosure that better explains the level of a given risk).

66 *See, e.g.*, Freeland Comment Letter (stating that funds should only disclose risks based on how the fund normally and actually invests).

67 *See* Division of Investment Management, Accounting and Disclosure Information 2019-08, Improving Principal Risks Disclosure, *available at*